

The Estimate That Learns — process guide

Five jobs. One habit. This guide is short on purpose.

Why this exists

You can price a job standing in a driveway. That skill is real and this kit does not try to replace it.

What the driveway number cannot tell you is the shape of your own error. Every estimator has one: a phase that is always light, a phase that is always padded. It is stable, it is personal, and it is invisible unless something writes it down. That is the entire job of this kit.

Step 1 — One file per job

Copy The-Loop.xlsx and name it after the job. That is the filing system. Do not build a master file with every job in it; the whole point is that each job carries its own before-and-after.

Step 2 — Estimate by phase, then run the checklist

Fill the **Estimate** tab, one number per phase. Then open the **Missed Line Items Checklist** and read it against what you just priced.

You are not trying to add all 63 items. You are looking for the four or five that make you stop. On a typical remodel, supervision, second dumpster pull, blocking, and subfloor prep are the usual suspects — but yours may differ, and after a few jobs you will know which ones are yours.

Step 3 — Bid the corrected total

On **job one**, leave every correction factor at 1.00. You have no history. A factor invented before you have data is just a fudge factor with better manners.

From job two on, type into the shaded factor column the factors from the **Variance & Factors** tab of your last job. The corrected total is what you bid from.

Step 4 — Record actuals the week the job closes

This is the only step that can kill the kit, and it dies from procrastination, not difficulty.

Fill the **Actuals** tab while you still remember why things happened. Two fields matter as much as the number:

- **What drove the difference** — in plain words. "Framer found rot at the sill" beats "over budget".
- **Price or scope** — see below. Getting this wrong is the one way to teach the loop a lesson that is false.

Step 5 — Read the factors, carry them forward

Open **Variance & Factors**. Nothing to fill in; it reads from the other two tabs.

- Factor above 1.10 → you underprice this phase. The next job corrects it.
 - Factor below 0.90 → you pad this phase. Worth knowing: padding does not just cost you jobs you lose, it hides the phases where you are genuinely light.
 - Between 0.90 and 1.10 → under control. Leave it alone.
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Price or scope: the distinction that makes this work

Price miss. The work was in your estimate. It cost more than you thought. Lumber moved, the sub raised his rate, the tile took longer to set than you allowed.

→ *This belongs in the factor.* It is exactly the error the loop exists to correct.

Scope miss. The work was never in your estimate at all. The rot behind the shower. The panel that could not carry the new range. The client's third color change.

→ *This does not belong in the factor.* Inflating a factor because of unbilled scope teaches you to overprice honest work while leaving the real hole open. The fix for a scope miss is the checklist (so you catch it next time) or a change order (so you get paid for it this time).

When you cannot tell, ask one question: **would a perfect estimator, with the same information I had on day one, have included this line?** Yes → price miss. No → scope miss.

When a factor will not settle

After five jobs, most phases stabilize. If one keeps swinging, it is telling you something specific:

- **The phase is too broad.** "Plumbing" covering both a fixture swap and a stack relocation will never converge. Split it in your file.
 - **You are mixing job types.** Kitchens and additions do not share an error profile. Keep separate copies.
 - **The variance is scope, not price, and it is being logged as price.** Re-read the last three jobs' notes. This is the most common cause.
 - **One sub is the variable.** If the swing tracks a single trade partner, the number is not telling you about your estimating. It is telling you about your sub.
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What this kit will not do

It will not tell you what things cost in your market — it only knows your jobs. It will not price a job for you. It will not make a client accept your number.

And it will not do anything at all for the contractor who does not write down actuals. That is not a caveat buried in the fine print; it is the deal. Five closeouts of honest data buys you a number about your own

business that no product on the market can sell you.

Version 1. The text is AI-written, working from published construction-cost sources and a real purchasing-and-job-costing operation; it is not a US contractor writing up his own jobs. If something here is wrong or missing for the way you work, say so — v1 buyers' notes are what shape v2.